

IN THE HIGH COURT FOR THE STATE OF TELANGANA
AT HYDERABAD

THE HONOURABLE SRI JUSTICE N.TUKARAMJI

CRIMINAL PETITION No.3324 OF 2022

DATE: 06.08.2026

Between :

Dharmender Sharma and three others.

... Petitioners/Accused Nos.1 to 4

AND

The State of Telangana, Through Rajendranagar police station, rep., by Public Prosecutor, Telangana and another.

... Respondents.

ORDER:

This Criminal Petition is filed under Section 482 of the *Code of Criminal Procedure*, 1973 (for short, "CrPC"), seeking quashment of the proceedings in C.C. No. 878 of 2017 on the file of the Principal Junior Civil Judge-cum-XIV Additional Metropolitan Magistrate, Cyberabad at Rajendranagar, arising out of Crime No. 1250 of 2016 registered on the file of Rajendranagar Police Station for the offences punishable under Sections 420 and 120-B of the *Indian Penal Code*, 1860 (for short, "IPC").

2. Heard Mr. Kishore Rai, learned Senior Counsel appearing for the petitioners, and Mr. Syed Yasar Mamoon, learned Additional Public Prosecutor, representing the respondent-State.

3.1. The prosecution case, in brief, is that petitioner/accused Nos.1 to 4, being the partners of M/s. United Developers, developed the United Arcade Commercial Complex at Attapur, Hyderabad, comprising commercial shops for sale. The de facto complainant, along with his uncle, approached the office of the developers with the intention of purchasing Shop Nos.28 and 29. It is alleged that each shop was priced at Rs.10,00,000/-, and the accused assured the complainant that the title deeds, GHMC permissions, and occupancy certificate would be furnished at the time of registration. Believing the said representations, the complainant allegedly paid an advance amount of Rs.4,00,000/- (Rs.2,00,000/- towards each shop) on 13.08.2016, for which a receipt was issued in the name of M/s. United Developers.

3.2. It is further alleged that the accused assured the complainant that the registration would be completed within one month. Thereafter, they informed him that the official registration value would be Rs.4,00,000/- per shop and required him to pay the remaining balance sale consideration of Rs.6,00,000/- per shop in cash without issuing any receipt. According to the prosecution, despite having received the

advance amount, the accused neither accepted the balance sale consideration nor executed the sale deed in favour of the complainant. Instead, accused Nos.1 to 5 are alleged to have entered into a criminal conspiracy and executed sale deeds dated 24.10.2016 in favour of accused No.6, who is alleged to be an employee of M/s. United Developers.

3.3. The complainant contends that he was always ready and willing to pay the balance sale consideration and had even issued a legal notice dated 15.10.2016 calling upon the accused to complete the transaction. However, the accused allegedly failed to honour their representations and instead conveyed one of the shops in favour of accused No.6. It is alleged that the accused never intended to perform their promise from the very inception and dishonestly induced the de facto complainant to part with Rs.4,00,000/-. Upon completion of the investigation, a charge sheet came to be filed.

4.1. Learned counsel for the petitioners contends that a false case has been foisted against them and that, even if the allegations contained in the FIR, the charge sheet, and the material collected during the course of investigation are accepted in their entirety, they do not constitute the offences punishable under Sections 420 and 120-B of the IPC. It is submitted that the essential ingredient of the offence of cheating, namely, the existence of a dishonest or fraudulent intention at

the inception of the transaction, is conspicuously absent from the material collected during the investigation.

4.2. According to the petitioners, the amount paid by the de facto complainant was merely a booking advance towards the proposed purchase of the shops, and no agreement of sale was ever executed between the parties. It is further contended that the petitioners have refunded the entire booking amount received from the complainant, thereby ruling out any allegation of wrongful gain or dishonest inducement.

4.3. Learned counsel further submits that the dispute, at the highest, pertains to an alleged breach of contractual obligations arising out of a proposed sale transaction and is purely civil in nature. It is argued that the complainant has already availed the appropriate civil remedy by instituting a suit for specific performance in respect of the very same transaction. Therefore, the institution of criminal proceedings based on identical allegations amounts to an abuse of the process of law. It is further contended that the criminal proceedings have been initiated solely with an oblique motive to exert pressure upon the petitioners and to give a criminal colour to what is essentially a civil dispute. It is, therefore, submitted that the continuation of the criminal proceedings would amount to an abuse of the process of the Court and is liable to be quashed.

5.1. Per contra, learned counsel for the respondent/de facto complainant contends that the petitioners have not approached this Court with clean hands, having suppressed material facts and failed to place all relevant documents before the Court in support of the relief sought. It is submitted that the receipt issued by M/s. United Developers acknowledging the receipt of Rs.4,00,000/- as part sale consideration clearly evidences the transaction between the parties and the promise made by the petitioners to sell Shop Nos.28 and 29 to the complainant.

5.2. According to the respondent, the petitioners have deliberately suppressed the said receipt and have attempted to shift the responsibility to their office assistant in order to evade criminal liability. Learned counsel further contends that the allegation that the petitioners demanded payment of the balance sale consideration in cash without issuing any receipt clearly demonstrates their dishonest intention from the very inception of the transaction.

5.3. It is submitted that the plea advanced by the petitioners that the complainant was required to finalise the terms of the transaction within ten days is false and unsupported by any documentary material. On the contrary, the legal notice issued by the respondent prior to the sale of the property establishes his readiness and willingness to perform his part of the proposed transaction.

5.4. It is further contended that, notwithstanding the receipt of the advance amount and the assurances extended to the complainant, the petitioners, in furtherance of their common intention and criminal conspiracy, alienated the property in favour of a third party, thereby attracting the offences of cheating and criminal conspiracy. According to the respondent, the allegations are duly supported by documentary evidence collected during the investigation and disclose the commission of cognizable offences.

5.5. It is, therefore, submitted that the dispute cannot be characterised as a purely civil dispute merely because the complainant has also pursued civil remedies. The issues raised by the petitioners involve disputed questions of fact requiring appreciation of evidence, which can only be adjudicated during trial. Accordingly, learned counsel prayed for dismissal of the petition.

6. I have carefully considered the submissions and perused the material available on record.

7. The crux of the allegations in the complaint is that the de facto complainant paid an advance amount of Rs.4,00,000/- towards the proposed purchase of Shop Nos.28 and 29 in the commercial complex developed by the petitioners and that the petitioners subsequently failed to execute the sale deeds in his favour. Admittedly, no written

agreement of sale was executed between the parties. The material placed before this Court further indicates that the amount paid by the complainant was only towards the booking of the proposed purchase and that the transaction never culminated in a concluded contract.

8. The principal allegation against the petitioners is that, despite receiving the booking amount, they failed to honour their promise to sell the property and subsequently alienated it in favour of another purchaser. Such allegations, even if accepted in their entirety, essentially disclose a dispute arising out of a commercial transaction concerning the enforcement of contractual obligations. It is also an admitted fact that the complainant has instituted a civil suit seeking specific performance of the alleged agreement. The institution of the said suit itself demonstrates that the primary grievance pertains to the enforcement of contractual rights and obligations.

9. It is well settled that every breach of contract does not constitute the offence of cheating. In *Hridaya Ranjan Prasad Verma v. State of Bihar*, (2000) 4 SCC 168, the Hon'ble Supreme Court held that the distinction between a mere breach of contract and the offence of cheating lies in the intention of the accused at the inception of the transaction. Unless it is shown that the accused possessed a dishonest or fraudulent intention from the very beginning, criminal liability under Section 420 of the IPC cannot be attracted. Mere subsequent conduct

or failure to perform a promise cannot, by itself, give rise to the offence of cheating. This principle was reiterated in *Uma Shankar Gopalika v. State of Bihar*, (2005) 10 SCC 336, wherein the Hon'ble Supreme Court held that every breach of promise would not amount to cheating unless fraudulent intention existed at the inception of the transaction. Likewise, in *Y.V. Jose v. State of Gujarat*, (2009) 3 SCC 78, it was held that the existence of *mens rea* at the time the promise was made is the sine qua non for constituting an offence under Section 420 of the IPC.

10. In the present case, neither the FIR nor the charge sheet discloses any specific material from which it can reasonably be inferred that the petitioners had a dishonest intention from the very inception of the transaction. The allegations merely indicate that the advance amount was received and that the proposed sale transaction could not ultimately be completed. The subsequent sale of the property in favour of another purchaser, by itself, cannot retrospectively establish that the petitioners entertained a fraudulent intention on the date on which the booking amount was received.

11. The allegation regarding the demand for payment of the balance sale consideration in cash also does not materially advance the prosecution case. Even assuming the said allegation to be true, it does not, by itself, establish that the petitioners dishonestly induced the complainant to part with the advance amount with a preconceived

intention to cheat. Whether the parties negotiated the mode of payment or the registration value is essentially incidental to the commercial transaction and does not satisfy the essential ingredients of the offence punishable under Section 420 of the IPC.

12. Equally untenable is the allegation of criminal conspiracy. The charge sheet does not disclose any independent material indicating a prior meeting of minds between the accused persons to commit an illegal act. Except for the bald allegation that the property was subsequently conveyed to accused No.6, who is stated to be an employee of the developers, no circumstance has been brought on record to establish the existence of any agreement to commit the alleged offence. It is well settled that a charge of criminal conspiracy cannot be inferred merely because the parties were connected with the transaction in question.

13. In this context, it is pertinent to note that, in *Indian Oil Corporation v. NEPC India Limited*, (2006) 6 SCC 736, the Hon'ble Supreme Court cautioned that criminal proceedings should not be permitted to be used for settling scores or exerting pressure in disputes which are essentially civil in nature. In *M/s. GHCL Employees Stock Option Trust v. M/s. India Infoline Ltd.*, (2013) 4 SCC 505, the Hon'ble Supreme Court reiterated that where the dispute is predominantly civil in nature and criminal proceedings are initiated merely to pressurize

the opposite party, the Court would be justified in exercising its inherent jurisdiction to prevent abuse of the process of law.

14. The parameters governing the exercise of jurisdiction under Section 482 of the Cr.P.C. were authoritatively laid down in *State of Haryana v. Bhajan Lal*, 1992 Supp (1) SCC 335. One of the recognised categories warranting interference is where the allegations, even if accepted in their entirety, do not constitute any offence, or where the criminal proceedings are manifestly attended with mala fides and have been instituted with an ulterior motive.

15. In the considered opinion of this Court, the present case squarely falls within the aforesaid category. It is also significant that the complainant has already invoked the jurisdiction of the competent Civil Court by filing a suit for specific performance. The questions relating to the existence of a concluded contract, the readiness and willingness of the parties, the refund of the booking amount, and the entitlement to specific performance are all matters falling within the exclusive domain of the Civil Court. Permitting the criminal prosecution to continue simultaneously on the very same set of facts, in the absence of the essential ingredients constituting the alleged offences, would amount to allowing the criminal process to be used as an instrument of coercion in a commercial dispute.

16. Viewed from any angle, the allegations contained in the prosecution case, even if accepted in their entirety, disclose nothing more than an alleged breach of contractual obligations arising out of a failed commercial transaction. The indispensable ingredients of dishonest intention at the inception of the transaction and criminal conspiracy are conspicuously absent from the material placed before this Court. Consequently, the continuation of the criminal proceedings would amount to an abuse of the process of the Court.

17. Accordingly, the Criminal Petition is allowed. The proceedings in C.C. No.878 of 2017 on the file of the Principal Junior Civil Judge-cum-XIV Additional Metropolitan Magistrate, Cyberabad, Rajendranagar, insofar as the petitioner/Accused Nos.1 to 4 are concerned, hereby quashed.

Consequently, all pending miscellaneous applications, if any, shall stand closed.

Date: 06.08.2026

N.TUKARAMJI, J

MRKR

THE HON'BLE SRI JUSTICE N. TUKARAMJI

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